

9:00 A.M.

Calendar Line # 1

Case Name Arthur Mungaray vs Greenpoint Mortgage Funding, Inc.

Case No. 20CV373378

Motion for Leave to File an Answer in Intervention

I. BACKGROUND

A. BRIEF FACTUAL AND PROCEDURAL HISTORY

This case stems from a November 19, 2020 Complaint filed by Plaintiff Arthur Mungaray (“Mungaray”) involving the real property located at 495 West Dunne Avenue, Morgan Hill, California 95037 (“Subject Property”). Plaintiff Mungaray seeks quiet title to the Subject Property and asserts that the mortgage was paid in full. (“Complaint”). In the Complaint, Plaintiff named Defendant Greenpoint Mortgage Funding, Inc. (“Greenpoint”), the original lender of the secured loan, but did not name Wells Fargo, N.A. (“Complaint”). Wells Fargo asserts that it is the beneficiary of a Deed of Trust (Santa Clara County Recorder’s Office, Instrument No. 18561062) on the Subject Property that was recorded on September 6, 2005. (Wells Fargo Motion, p. 2; Request for Judicial Notice, Vol. 1, No. 1; Exhibit 1). The Deed of Trust reflects that Plaintiff Mungaray obtained a \$500,000.00 loan from the original lender, Defendant Greenpoint that was secured on the property. (*Id.*, at p. 5). On February 16, 2012, a corporate assignment of the Deed of Trust was recorded (Instrument No. 21540371) reflecting assignment of the Deed of Trust by beneficiary MERS to Wells Fargo Bank. (*Id.*, at p. 6; Request for Judicial Notice, Vol. 1, No. 2; Exhibit 2). Wells Fargo avers that the subject property is not free and clear. (*Id.*).

On August 8, 2024, the Honorable Evette Pennypacker entered an Entry of Default and Final Judgment against Defendant Greenpoint and ordered that the Deed of Trust, a Notice of Default and a Notice of Trustee’s Sale were void. Greenpoint filed a Motion to Vacate and Set Aside Void Judgment Pursuant to Code Civ. Proc. § 473(d), which the Honorable Dan Nishigaya signed on behalf of the Honorable Shella Deen and granted on November 24, 2025. The Order provides, “IT IS FURTHER ORDERED that this Court’s Entry of Default and Final Judgment entered on August 8, 2024, is VACATED and set aside as void ab initio and this case is REINSTATED.” (Minute Order, November 24, 2025).

On December 11, 2025, Plaintiff Mungaray filed a Notice of Appeal (No. H053929) that is pending.

B. MOTION FOR LEAVE TO FILE AN ANSWER IN INTERVENTION

Wells Fargo, N.A. Successor by merger to Wells Fargo Bank Minnesota, N.A. f/k/a Northwest Bank Minnesota, N.A. as trustee for structure asset mortgage investments II, Inc. Greenpoint Mortgage Funding Trust 2005-AR5, Mortgage Pass through Certificates Series 2005-AR5 (hereinafter “Wells Fargo”) filed this motion for leave to file an Answer in Intervention on March 27, 2026. Wells Fargo asserts that its interest as beneficiary of the Deed of Trust secured by the Subject Property is not adequately represented in this case. (Wells Fargo’s motion, p. 3). Wells Fargo seeks to protect its interest in the Subject Property through intervention and submits intervention under California Code of Civil Procedure section 387. (*Id.*). Wells Fargo asserts that its application to intervene is timely and submits a Proposed Answer in Intervention as Exhibit A to its moving papers. Based on its interest, specifically due to its recorded beneficiary status in the Deed of Trust on the Subject Property, Wells Fargo seeks mandatory intervention under section 387(b). (*Id.*, at p. 9-10). In the alternative, Wells Fargo submits permissive intervention would be appropriate given its interest in this litigation, successor of either of the parties, or an interest against both under section 387(a). (*Id.*, at p. 9-10).

The Court has carefully reviewed Wells Fargo’s moving papers including, notice of motion and memorandum of points and authorities (totaling 43 pages), Requests for judicial notice volumes 1 and 2 (totaling 245 pages and 464

pages); Greenpoint's non-opposition (totaling 3 pages); Opposition, including Declaration of Barry B. Eskanos (totaling 18 pages); Declaration of Arthur Mungaray (totaling 16 pages); Supplemental opposition by Defendant Mungaray with attached Exhibits 1-4 (totaling 16 pages); Declaration of Mungaray (totaling 5 pages); Opposition (totaling 21 pages); Supplemental Opposition and Declaration of Barry B. Eskanos and Exhibits 1-4 (totaling 24 pages); Reply brief in support of opposition (totaling 8 pages); proofs of service; and the pleadings.

II. LEGAL STANDARD

A. INTERVENTION

Pursuant to California Code of Civil Procedure section 387(b), intervention occurs when a nonparty becomes a party to an action by:

- (1) Joining a plaintiff in claiming what is sought by the complaint.
- (2) Uniting with a defendant in resisting the claims of a plaintiff.
- (3) Demanding anything adverse to both a plaintiff and a defendant.

Intervention is either mandatory or permissive. Under the mandatory intervention provision: "[t]he court shall, upon timely application, permit a nonparty to intervene in the action or proceeding if either . . . (A) [a] provision of law confers an unconditional right to intervene [or] (B) [t]he person seeking intervention claims an interest relating to the property or transaction that is the subject of the action and that person is so situated that the disposition of the action may impair or impede that person's ability to protect that interest, unless that person's interest is adequately represented by one or more of the existing parties." (Code of Civ. Proc., § 387(d)(1)). Under permissive intervention provision, "[t]he court may, upon timely application, permit a nonparty to intervene in the action or proceeding if the person has an interest in the matter in litigation, or in the success of either of the parties, or an interest against both." (Code of Civ. Proc., (d)(2)). "[T]he trial court has discretion to permit a nonparty to intervene where the following factors are met: (1) the proper procedures have been followed; (2) the nonparty has a direct and immediate interest in the action; (3) the intervention will not enlarge the issues in the litigation; and (4) the reasons for the intervention outweigh any opposition by the parties presently in the action." (*Reliance Ins. Co. v. Superior Court* (2000) 84 Cal.App.4th 383, 386).

"A nonparty shall petition the court for leave to intervene by noticed motion or ex parte application. ((Code of Civ. Proc., § 387(c)). The petition shall include a copy of the proposed complaint in intervention or answer in intervention and set forth the grounds upon which intervention rests." If the nonparty fails to attach to its motion a copy of the proposed complaint or answer in intervention, a court may properly deny the motion to intervene. (*Sutter Health Uninsured Pricing Cases* (2009) 171 Cal.App.4th 495, 513).

B. REQUEST FOR JUDICIAL NOTICE

Under Evidence Code section 452(c)(d), the court may take judicial notice of court records and actions of the state. Here, Wells Fargo filed two volumes of request for judicial notice: Volume 1, Nos. 1-12 (totaling 245 pages); and Volume 2, Nos. 1-12 (totaling 464 pages). The Court GRANTS the request for judicial notice, Volume 1, Nos. 1, Exhibit 1 (Deed of Trust) and No. 2, Exhibit 2 (Corporate Assignment). However, the Court does not take judicial notice of the truth of assertions within the court records. (*Herrera v. Deutsche Bank National Trust Co.* (2011) 196 Cal.App.4th 1366, 1375).

The remainder of the request for judicial notice is DENIED as irrelevant to the inquiry.

III. ANALYSIS

Here, Wells Fargo seeks mandatory leave to intervene under Code of Civil Procedure section 387(b), based on its interest as the recorded beneficiary status in the Deed of Trust on the Subject Property (Santa Clara County

Recorder's Office, Instrument No. 18561062) or in the alternative permissive intervention based on its interest in this litigation, successor of either of the parties, or an interest against both under section 387(a). (Wells Fargo's Motion, p. 9-13). On February 16, 2012, a corporate assignment of the Deed of Trust was recorded (Instrument No. 21540371) reflecting assignment of the Deed of Trust by beneficiary MERS to Wells Fargo. (*Id.*, at p. 2).

Defendant Greenpoint filed a notice of non-opposition to Wells Fargo's motion to intervene.

Plaintiff Mungaray opposes Wells Fargo's motion to intervene on the grounds that litigation has concluded after judgment was entered and that this court lacks jurisdiction as the case is pending appeal. (Opposition of Mungaray, p. 1-3). Plaintiff also argues that the motion to intervene is untimely and avers Wells Fargo knew or should have known about the underlying litigation as well as related bankruptcy proceedings through public filings and enforcement of judgment. (*Id.*, at p. 3-5). Plaintiff Mungaray asserts he would suffer substantial prejudice if intervention is allowed as he is seeking to defend the judgment that is pending appeal and incur extra expense, delay resolution, and allow Wells Fargo to intervene after it failed to act earlier. (*Id.*, at p. 6; Supplemental Opposition by Mungaray, p. 5). Plaintiff asserts that Defendant Greenpoint's non-opposition to the motion to intervene is irrelevant. Plaintiff objects to Wells Fargo's request for judicial notice as improper. (*Id.* at p. 5-6). Plaintiff argues that this court should await the appellate court decision rather than alter party alignment. (Supplemental Opposition by Mungaray, p. 6).

Similar to the plaintiff's opposition, Barry B. Eskanos, as the assignee of the monetary judgment entered filed an opposition on the grounds: that Wells Fargo's motion to intervene is untimely, arguing that the bank knew of the related bankruptcy proceedings and failed to act; trial court lacks jurisdiction under Code of Civil Procedure section 916(a) as an appeal has commenced; intervention would prejudice the undersigned assignee of the judgment; Defendant Greenpoint's non-opposition is irrelevant; and judicial notice should be denied as it uses extrinsic evidence on disputed facts. (Opposition by Eskanos, p. 1-2 and Declaration of Eskanos). Mr. Eskanos argues that intervention cannot be used to relitigate judgment or service. (Supplemental Opposition of Eskanos, p. 2-4).

In reply, Wells Fargo contends that while Plaintiff disputes Wells Fargo's beneficiary status of his Deed of Trust, Plaintiff Mungaray does not dispute that Wells Fargo claims an interest in the Subject Property involved in the matter. (Reply brief, p. 2). Thus, Wells Fargo asserts that it is undisputed that it "claims an interest relating to the property. . . that is the subject of the action." (*Id.*). Wells Fargo contends that the loan is still outstanding on the Deed of Trust and the plaintiff seeks quiet title by contending that the mortgage on the Subject Property was paid in full, and thus is so situated that the disposition of the action may impair or impeded Wells Fargo's ability to protect that interest under section 387(d)(2)(B). (*Id.*, at p. 3). Wells Fargo avers that its interests are not adequately represented by GreenPoint, as it has no claim on the Subject Property. (*Id.*, at p. 3-5). Wells Fargo also points out that references to other cases in litigation is irrelevant to intervention. (*Id.*).

The court addresses the timeliness. Plaintiff Mungaray and Mr. Eskanos asserts that Wells Fargo failed to appear earlier and act with diligence, and intervention at this stage would result in prejudice. In opposition, the plaintiff and Mr. Eskanos assert that Wells Fargo was "on notice" of the facts of the case and that judgment was entered. Wells Fargo emphasizes that it was not named as a party and notice of the case or related causes does not constitute notice or delay. Wells Fargo contends that timeliness is determined by the totality of the circumstances, including the stage of the proceedings; prejudice to other parties from the delay in seeking to intervene; and the reason for the delay. (Reply brief, p. 5). Wells Fargo asserts that once the judgment was vacated, it acted with diligence to intervene a become a party to the litigation. As to prejudice, Wells Fargo asserts that any prejudice to Plaintiff Mungaray would be minimal, especially in light of the fact that the plaintiff did not include Wells Fargo as a party in his Complaint and that the only issue at appeal is initial default judgment being vacated. "[I]ntervention is possible, if otherwise appropriate, at any time, even after judgment." (*Mallick v. Superior Court* (1979) 89 Cal.App.3d 434, 437). The

timeliness of a petition to intervene is determined by the totality of the circumstances facing the intervenor, focusing on three factors: (1) the stage of proceedings; (2) the prejudice to other parties from the delay in seeking to intervene; and (3) the reason for delay. (*Crestwood Behavioral Health, Inc. v. Lacy* (2021) 70 Cal.App.5th 560, 574). “Prejudice to the existing parties” caused by delay is the most import factor. (*Ibid.*). The Court finds that the motion to intervene is timely in light of the totality of circumstances.

Plaintiff Mungaray and Mr. Eskanos argument that this court lacks jurisdiction pending appeal under section 916(a), is rejected. In his supplemental opposition, Plaintiff Mungaray also argues that this court should await the appellate court decision rather than alter party alignment. (Supplemental Opposition by Mungaray, p. 6). However, the court rejects that assertion. On June 23, 2026, the Sixth Appellate District Order directed this Court to hear the issue of intervention in this matter.

The court finds that Wells Fargo demonstrates an interest relating to the Subject Property based on its recorded beneficiary status in the Deen of Trust. Wells Fargo’s motion was preceded by an ex parte application that was denied pending stay on appeal, which the Sixth District ordered hearing. Weighing the totality of circumstances and the plaintiff’s assertion of prejudice that he will have to incur expenses and delay a resolution, the court notes that the underlying basis for the appeal is the order vacating the judgment. Accordingly, Wells Fargo is entitled to mandatory intervention pursuant to section 387. Wells Fargo seeks “. . . intervention claims an interest relating to the property or transaction that is the subject of the action and it is so situated that the disposition of the action may impair or impede that person's ability to protect that interest, unless that person's interest is adequately represented by one or more of the existing parties.” (Code of Civ. Proc., §387(d)(1)(B)). “[T]he trial court has discretion to permit a nonparty to intervene where the following factors are met: (1) the proper procedures have been followed; (2) the nonparty has a direct and immediate interest in the action; (3) the intervention will not enlarge the issues in the litigation; and (4) the reasons for the intervention outweigh any opposition by the parties presently in the action.” (*Reliance Ins. Co. v. Superior Court* (2000) 84 Cal.App.4th 383, 386).

The court also notes that Wells Fargo has attached as Exhibit A to its motion to intervene, a copy of the proposed Answer in Intervention.

IV. CONCLUSION

Based on the foregoing, the motion to file an Answer in Intervention is GRANTED.

Wells Fargo is ordered to file its proposed Complaint-in-Intervention within ten (10) days of the date of this Order. The Court will prepare the formal Order.

Calendar Line # 2
Case Name Bernardo Magana Loya et al vs General Motors LLC
Case No. 23CV411778
Motion for Attorney’s Fees and Cost
I. <u>BACKGROUND</u>
This case stems from a Complaint under the Song-Beverly Act that was filed on February 15, 2023. The parties filed a notice of settlement on June 24, 2025.
Before the court is Plaintiff’s motion for attorney’s fees, costs and enhancer based on a resolution of claim arising out of Plaintiff’s 2019 Chevrolet Silverado 1500, vehicle identification number 3GCUYBEF9KG700309 (“Subject Vehicle”), which was brought under the Song-Beverly Consumer Warranty Act. (Complaint, p. 2). Plaintiffs